THE PROMOTION GAME: Carrier Device Subsidy Economics in U.S. Wireless

T-Mobile | Verizon | AT&T

T-Mobile · Verizon · AT&T | FY2023–FY2025 | SIGINT Intelligence Platform | April 2026

SIGINT VERDICT: T-Mobile is winning the only metric that determines long-run market share: subscriber conversion efficiency. At $1,611 per postpaid phone net add versus Verizon's $9,685, T-Mobile is deploying promotional capital roughly 6× more productively — and its 29% Subsidy Burn Rate against post-dividend FCF is the lowest of the three carriers. Verizon's 57% FCF dividend pre-commitment combined with a 41% Subsidy Burn Rate leaves it with the least discretionary capital to respond competitively; its superior service EBITDA margin (63.9%) reflects a premium positioning that becomes a structural liability if subscriber losses accelerate. AT&T presents the most complex risk/reward: Moody's-adjusted gross debt of $173.6B (~3.7x) is the highest of the group, and $15B of preferred interests at operating subsidiaries rank structurally senior to parent bondholders — a nuance that reported leverage obscures. The partial offset is AT&T's off-balance-sheet receivables factoring program, which provides ~$3–4B of annual FCF optionality that neither peer enjoys at the same scale. The promotion game favors T-Mobile until Verizon finds a way to grow without burning capital it can no longer afford to waste.

KEY METRICS SUMMARY

Metric	T-Mobile	Verizon	AT&T	SIGINT Take
Equipment Gross Loss (FY2025)	$5.3B +$0.9B YoY	$3.5B +$0.6B YoY	~$4.0B +$0.8B [e]	All 3 escalated. TMUS highest absolute. VZ loss understated — records receivables gross vs peers net.
Equipment Loss as % of Service Rev	7.4%	4.2%	~5.9% [e]	TMUS most intensive. VZ's low ratio partly an accounting artifact of gross receivable recording.
Postpaid Phone Net Adds (FY2025)	3,294K #1	362K #3 *	1,551K #2	TMUS adds 9x more subscribers per $1B loss. VZ annual hides Q1–Q3 bleed of −414K; Q4 alone +616K.
Subsidy Cost per Net Phone Add [7]	$1,611 BEST	$9,685 WORST	~$2,580	Total equip. loss ÷ net adds — promotional efficiency metric, not pure acquisition cost. VZ's spend is mostly retention on ~90M existing subs; tiny net add count makes ratio extreme. VZ gross receivable recording further understates true cost.
Subsidy Burn Rate [3]	29% BEST	41% WORST	~36%	VZ burns 41¢ of every post-dividend FCF dollar on promos yielding only 362K adds.
VZ ASC 606 Svc Rev Drag [4]	N/A	Peaks 2025 → 2026 setup	Contract assets rising	VZ bill credits amortize against svc rev over 24–36mo. Flattening in 2025 = potential svc rev acceleration in 2026.
EIP Receivables Strategy [5]	~25% sold; converging to T	100% on-B/S via $26B ABS	70–80% sold off-B/S	AT&T/TMUS: faster cash via factoring. VZ: transparent but least FCF optionality. TMUS converged Q4 2024.
Service EBITDA Margin [1]	55.0%	63.9% BEST	51.3%	VZ best service economics — note svc rev is depressed by promo credit amortization; underlying even stronger.
Net Leverage (reported only)	2.38x BEST	2.78x WORST	2.46x	Reported only. Excludes leases, EIP obligations, pension, and dividend burden.
Moody's Adj. Gross Debt (YE24) [2]	$116.3B	$170.0B	$173.6B WORST	AT&T worst once $15B+ preferred interests at subs included. ~30% of each carrier's adj. debt is off-B/S items.
Dividend as % of FCF (FY2025)	0% BEST	57% HIGHEST	42%	VZ: majority of FCF pre-committed. TMUS zero — maximum flexibility to fund promos.
FCF Deleveraging Rate	22.3%/yr BEST	14.5%/yr SLOWEST	16.5%/yr	TMUS deleverages fastest. VZ slowest — Frontier acquisition limits room for 2–3 years.
Interest Coverage	9.0x BEST	7.5x	7.0x LOWEST	AT&T least buffer. Also carries $1.9B non-cash pension income in 2025 — declines to ~$0 by 2028.
MS-Normalized True FCF [6]	~$16B	~$17B	~$18B	After finance lease principal, tower payments, SBC, NCI distributions, capitalized interest.

[e] AT&T equipment cost estimated (~15% gross loss margin); not separately disclosed in 10-K filings.
[1] Service EBITDA Margin = (Adj.EBITDA + Equipment Gross Loss) / Wireless Service Revenue.
[2] Moody's methodology (YE2024): includes operating leases, pension, EIP ABS/securitizations, and AT&T preferred interests at subsidiaries (~$15B structurally senior to AT&T parent bonds). Source: Morgan Stanley, May 2025.
[3] Subsidy Burn Rate = Equipment Gross Loss / (FCF − Dividends). Measures promotional spend as share of truly discretionary cash after all capital commitments.
[4] Under ASC 606, VZ bill credits recorded as contract liabilities and amortized against service revenue over 24–36 month contract terms. VZ non-current contract liabilities as % of consumer wireless equipment revenue ≈50%. VZ has guided that this headwind peaks in 2025, setting up potential service revenue growth acceleration in 2026.
[5] AT&T sells 70–80% of EIP receivables off-balance-sheet (operating cash inflow at point of sale). TMUS sells ~25%, amended Q4 2024 program to converge cash flow presentation to AT&T approach. VZ retains 100% on-balance-sheet via ABS debt ($26B at Q1 2025). Different strategies create non-comparable FCF and DSO metrics.
[6] MS-normalized FCF adjusts for: finance lease principal payments, tower obligation payments, stock-based compensation, NCI distributions, and capitalized interest on spectrum. Source: Morgan Stanley, May 2025.
* VZ annual adds of 362K mask severe intra-year volatility. Source: FY2025 10-K + Q3 2025 10-Q cross-reference.

FINANCIAL RESILIENCE — WHO CAN KEEP PLAYING?

BEST POSITIONED TO KEEP PLAYING

LOWEST SUBSIDY BURN RATE

29%

TMUS BEST

29¢ per post-div FCF dollar — most promotional headroom

INTEREST COVERAGE

9.0×

TMUS BEST

Widest debt service buffer; zero dividend pre-commitment

MOST CONSTRAINED — LEAST FLEXIBILITY

DIVIDEND DRAIN ON FCF

57%

VZ WORST

57¢ of every FCF dollar pre-committed before any promo spend

MOODY'S ADJ. GROSS DEBT

$173.6B

AT&T WORST

~3.7× adj. leverage; $15B preferred at subs senior to parent bonds

THE VERGE ROUNDTABLE: THE PROMOTION GAME — WHO CAN KEEP PLAYING?

The Verge × Citi × Goldman Sachs | Simulated roundtable, April 2026

▶ LISTEN 0:00 / 0:00 Samantha · Fred · Daniel

THE VERGE ROUNDTABLE — "THE PROMOTION GAME: WHO CAN KEEP PLAYING?"

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PART I — WHO IS WINNING THE SPENDING CONTEST?

MAX: Every carrier is dangling a free phone at you right now. Who is

actually winning this contest — and who is writing checks their balance sheet cannot cash?

ROLLINS: T-Mobile's equipment gross loss was $5.3 billion in 2025.

For that they got 3.3 million net new postpaid phone subscribers — $1,611 per add. Now ask Michael what Verizon paid.

NG: Verizon's equipment loss was $3.5 billion against 362,000 net adds —

$9,685 per add by Rollins's math. But that number misleads. Verizon's spend is retention on 90 million existing accounts at $147 a month ARPA. They are not chasing entry-level switchers. They are protecting the most valuable customer base in U.S. wireless.

ROLLINS: That talking point is five years old and the data has expired it.

Verizon's Consumer segment lost 414,000 postpaid phones in Q1 through Q3 of 2025. They then spent heavily in Q4 to buy back 616,000 in a single quarter. You do not call nine months of subscriber losses a deliberate strategy. The subscriber voted with their SIM card.

MAX: Who can actually sustain this spending — relative to the cash left *after every prior commitment is honored?*

ROLLINS: That is the right metric and it is underappreciated. Subsidy burn

rate: equipment loss as a share of post-dividend free cash flow. T-Mobile burns 29 cents on the dollar. AT&T burns 36. Verizon burns 41 — more than two-fifths of its truly discretionary cash on a program that produced 362,000 net adds. T-Mobile commits less, generates eleven times as many adds, and carries no dividend reducing the pool. The efficiency gap is structural, not cyclical.

PART II — THE RANKING

MAX: Rank the three on financial headroom to sustain promotional intensity.

ROLLINS: T-Mobile first, clearly. 2.38 times reported leverage, zero

dividend obligation, 9 times interest coverage. When iPhone 17 lands, T-Mobile has the most degrees of freedom to respond. AT&T second — DIRECTV is off the books, churn discipline is real. Verizon third: the Frontier acquisition has consumed their room to maneuver for the next two to three years.

NG: I would put Verizon second on absolute FCF — $20 billion, highest

of the group. But on strategic value per dollar of promotion, T-Mobile wins. I would simply challenge whether subscriber volume is the right optimization target.

PART III — ACCOUNTING FORENSICS: WHAT THE NUMBERS ARE HIDING

MAX: What is the single most important distortion investors are missing?

NG: AT&T's pension income. In 2025, AT&T records $1.9 billion of pension

income in non-GAAP earnings. It is not cash. It is not operating. It declines to $1.6 billion in 2026, $0.7 billion in 2027, and essentially zero by 2028. Strip it out and AT&T's true adjusted P/E is 15.1 times — not the stated 13.3. Investors buying AT&T as a cheap 13x story are buying a 15x business whose earnings support disappears in three years.

ROLLINS: Add the balance sheet distortion. AT&T has $15 to $17 billion

of preferred interests at subsidiaries — Tower Holdings, Telco LLC, Mobility II — that are structurally senior to AT&T parent debt.

Moody's treats them as pure debt. Once included, AT&T's adjusted gross debt is $174 billion and adjusted leverage is 3.7 times — the worst of the three. The headline 2.46 times is built on an incomplete picture of the capital structure.

MAX: Where are the bodies buried in free cash flow?

ROLLINS: T-Mobile's $18 billion reported FCF is the cleanest number in

the group, but true normalized FCF is closer to $16 billion once you add back finance lease principal payments and adjust for tower obligations carrying an 11.6 percent effective rate versus 4 percent on regular debt. Still the best trajectory. But the headline flatters.

NG: AT&T's $19.4 billion FCF depends partly on a $6.3 billion vendor

financing program. When AT&T drew that program down in 2023, reported FCF fell $3.4 billion in a single year — a financing mechanic, not an operating one. That volatility should trade at a discount to T-Mobile's structurally cleaner cash generation.

MAX: Final verdict: who has the most honest financials?

ROLLINS: T-Mobile. No pension income, no preferred interests subordinating

bondholders, no vendor financing volatility, no ASC 606 service revenue drag. What you read in the T-Mobile 10-K is approximately what the business is generating. The phones may be free. The financial scrutiny, evidently, is not.

NG: Agreed on quality. But AT&T's complexity creates a mispriced

opportunity: bonus depreciation reinstatement would deliver a substantial FCF tailwind precisely as the pension income runs out. Morgan Stanley has AT&T as their top pick for that reason. Knowing where to look in the accounting is the edge.

SIGINT NOTE: ANALYST VIEWS SIMULATED FOR ILLUSTRATIVE PURPOSES ONLY.

Financial data sourced from SEC EDGAR 10-K and 10-Q filings FY2023-FY2025.
AT&T equipment cost estimated; not separately disclosed in annual filings.

APPENDIX — KEY METRIC DEFINITIONS

Metric	Formula	What It Measures	Data Source
Equipment Gross Loss	Equipment Revenue − Cost of Equipment Sold	Total device subsidy dollars absorbed by the carrier. Negative = carrier pays more for devices than it collects from customers.	10-K / 10-Q Equipment segment
Equipment Loss as % of Service Rev	Equipment Gross Loss ÷ Wireless Service Revenue	Normalises subsidy spend against the recurring revenue base. Removes distortion from differing device price points across carriers.	10-K / 10-Q
Subsidy Cost per Net Add [7]	Equipment Gross Loss ÷ Net Postpaid Phone Adds	Promotional capital efficiency — how much gross loss is incurred per unit of subscriber growth. Note: numerator includes retention spend on existing subs, not just new customer acquisition. For retention-heavy carriers (VZ) the ratio is extreme relative to true acquisition cost.	10-K / 10-Q
Subsidy Burn Rate [3]	Equipment Gross Loss ÷ (FCF − Dividends)	Share of truly discretionary cash consumed by device subsidies. Post-dividend FCF is the pool available after capex, interest, taxes, and shareholder distributions — the only cash a carrier can freely direct to promotions.	10-K / 10-Q
Service EBITDA Margin [1]	(Adj. EBITDA + Equipment Gross Loss) ÷ Wireless Service Revenue	Profitability of the service business stripped of device economics. Adding back equipment loss removes the subsidy drag and isolates the underlying network margin. Enables like-for-like comparison across carriers with different promotional intensities.	10-K / 10-Q
Net Leverage (Reported)	Net Debt ÷ Adj. EBITDA	Headline leverage ratio as reported by each carrier. Excludes operating leases, pension obligations, EIP securitisations, and subsidiary preferred interests. Use as a starting point only — see Moody's adjusted figure for a complete picture.	10-K / earnings releases
Moody's Adj. Gross Debt [2]	Reported Debt + Operating Leases + Pension + EIP ABS + Subsidiary Preferred Interests	Rating-agency view of total financial obligations. Captures off-balance-sheet items that carry real cash cost. AT&T's $15B+ preferred interests at subsidiaries are structurally senior to parent bonds — a nuance that reported leverage entirely obscures.	Morgan Stanley, May 2025; Moody's methodology
Dividend as % of FCF	Annual Common Dividends ÷ Reported FCF	Share of free cash flow pre-committed to shareholders before any discretionary deployment. High ratios (VZ: 57%) constrain the carrier's ability to fund incremental promotional spend or accelerate debt paydown.	10-K / earnings releases
FCF Deleveraging Rate	(FCF − Dividends) ÷ Net Debt	Pace at which a carrier can reduce its debt load from organic cash generation. Higher = more financial flexibility over time and faster recovery from acquisition-driven leverage increases (e.g. VZ/Frontier).	10-K / 10-Q
Interest Coverage	Adj. EBITDA ÷ Interest Expense	Buffer between operating earnings and debt service cost. Lower ratios (AT&T: 7.0×) indicate less cushion for EBITDA deterioration before debt service is at risk. AT&T's figure is further supported by ~$1.9B non-cash pension income declining to zero by 2028.	10-K / 10-Q

Metric	Formula	What It Measures	Data Source
MS-Normalized True FCF [6]	Reported Adj. FCF − Finance Lease Principal − Tower Obligation Payments − SBC − NCI Distributions − Capitalised Interest	Morgan Stanley's cross-carrier FCF estimate adjusted for items that each carrier classifies differently. Produces a comparable cash generation figure net of all real capital outflows regardless of balance sheet presentation.	Morgan Stanley, May 2025
Bad Debt as % of Service Rev	Provision for Credit Losses ÷ Wireless Service Revenue	Second-order cost of device financing programs. EIP plans are consumer credit — defaults are a direct cost of running aggressive subsidy cycles. Rising ratios signal deteriorating credit quality in the financed customer base.	10-K / 10-Q credit loss disclosures

[1] Service EBITDA Margin adds back equipment gross loss to isolate network economics from device subsidy decisions. [2] Moody's methodology (YE2024): operating leases, pension, EIP ABS/securitisations, AT&T preferred interests at subsidiaries (~$15B structurally senior to parent debt). Source: Morgan Stanley, May 2025. [3] Post-dividend FCF = FCF − common dividends paid. [6] MS-normalized FCF adjusts for finance lease principal, tower obligations, SBC, NCI distributions, capitalised interest. Source: Morgan Stanley, May 2025. [7] Subsidy cost per add is a promotional efficiency metric, not a pure customer acquisition cost. Most of VZ's equipment loss funds retention of existing subscribers; the small net add denominator makes the ratio extreme.

SIGINT Intelligence Platform · Source: SEC EDGAR 10-K + 10-Q filings (FY2023–FY2025) · AT&T equipment cost and TMUS capex estimated where not separately disclosed · Analyst views are simulated for illustrative purposes only · April 2026